

Market Failure

Introduction

▼ Do markets always result in efficient use of resources?

There are instances where self-interest and the free interaction of supply and demand fail to allocate resources or price products in a way that society regards as efficient, equitable or sustainable. In these situation the government steps in to modify or restrict the freedom in which markets operate (such as indirect taxation or subsidies) or by doing away with markets altogether (such as the NBN).

▼ What are some examples of market failure?

- Externalities: The side effects of consuming or producing a product on a third party such as the government on markets or pollution
- Uncompetitive market: The interaction between buyers and sellers becomes skewed or biased in one side has more influence and power than the other. Producers can exploit markets through creating monopolies by reducing supply and increasing prices to create more profits.
- Information gaps: Producers and consumers do not have adequate information to make rational decisions
- Markets with no price: Under certain conditions there is no free market demand or free market supply and hence no chance at gathering a price. For these products, known as public goods, the allocation of resources is done by the government directly.

